

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$4.05 ▲ 0.75%	12M Price Target \$4.50	52-Week Range \$3.01 – \$9.39	Market Cap \$1.94B
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BBAI: Panama Deal Validates Commercial Pivot; Reiterate Hold

WHAT'S CHANGED

- Panama foundational deal (Jun 8) reframes narrative from pure-play DoD vendor toward LATAM commercial AI deployment, validated by Simply Wall St. and MarketBeat coverage emphasizing the mix shift.
- Stock consolidating in tight \$3.99–\$4.14 range on declining volume (43.9M→29.9M over 5 sessions), signaling digestion after the news rather than breakout; sits at only 16% of 52-week range.

IMPLICATIONS

The Panama win is strategically meaningful because it diversifies BBAI away from lumpy U.S. federal procurement cycles and toward recurring commercial AI/biometrics revenue, which the market typically awards a higher multiple. However, with Tech ETFs up 3.78% on the day and BBAI underperforming at +0.75%, the tape suggests investors want execution evidence — likely a Q2 print showing commercial revenue contribution — before re-rating the stock. Management's reaffirmed 2026 outlook (per Zacks) is a necessary but insufficient catalyst absent margin progress.

VALUATION

At \$1.94B market cap on ~\$185M FY26E revenue, BBAI trades at ~10.5x EV/Sales — a premium to defense IT peers (LDOS, CACI at 1–2x) and roughly in line with smaller AI software comps, but well below PLTR's ~70x. Our \$4.50 PT applies ~10x FY27E sales of \$235M, implying ~11% upside. Multiple expansion requires commercial mix crossing ~25% of revenue and gross margin moving above 30%; contraction risk if dilutive financing returns (BBAI has historically tapped ATM facilities).

KEY RISKS

- Persistent operating losses and reliance on equity issuance / convert structures driving dilution (share count up materially over 24 months).
- Customer concentration in DoD/IC budgets vulnerable to continuing resolution delays and program reprioritization.
- Competitive pressure from Palantir, C3.ai, and Booz Allen in decision intelligence; Panama-style international deals face geopolitical and FX execution risk.

RECENT NEWS

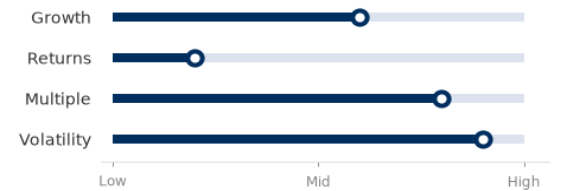
Why BigBear.ai Is Staying Confident About Its 2026 Outlook Zacks · 2026-06-12 15:20

SoundHound's LivePerson Bet: Can It Unlock a \$500M AI Opportunity? Zacks · 2026-06-11 14:25

Key Data

Price (USD)	\$4.05
12M Price Target	\$4.50
Upside / (Downside)	+11.1%
Market Cap	\$1.94B
FY2026E Revenue	\$185M
FY2027E Revenue	\$235M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.21)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$4.80	\$4.20	\$3.50
6 Months	\$6.00	\$4.50	\$3.00
1 Year	\$7.50	\$5.00	\$2.75
2 Years	\$10.00	\$6.00	\$2.25
5 Years	\$16.00	\$8.50	\$1.50
10 Years	\$28.00	\$12.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.78%), Materials (+5.08% 5D)

COLD SECTORS: Communication Services, Utilities

ROTATION WATCH: Risk-on tape favoring high-beta AI and semiconductor names; if 10Y yields stay contained, capital should continue rotating from defensives into small-cap AI infrastructure where BBAI sits.

BYPRODUCT PLAY: Government AI modernization spend benefits sub-scale primes (BBAI, RCAT, KTOS) as DoD pushes commercial AI integration; secondary beneficiaries include identity/biometrics specialists (CLR, MITK) leveraged to the same LATAM border-security theme as the Panama deal.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): Trading at ~70x sales with consistent commercial revenue acceleration >50% YoY; the benchmark BBAI must close gap toward.
- SOUN (SoundHound AI): Per Zacks coverage, LivePerson partnership opens stated \$500M TAM, demonstrating peer ability to convert partnerships into market-moving narratives.

BBAI CONTEXT: BBAI is lagging — sitting at only 16% of 52-week range while Tech ETF rips +4.1% over 5 days underscores that investors view BBAI as show-me story versus PLTR/SOUN. Relative weakness suggests overhang from prior dilution and lack of profitability path.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$3.25-3.50 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: FY26 revenue guide cut, dilutive raise, or loss of DoD prime contract

Hedging: Pair long vs short PLTR or paired ETF (ITA) to neutralize defense beta